

Is that uncertainty? The answer is no—it is an unknown outcome with well-defined possibilities.

Uncertainty is when the possible outcomes are wholly unknown and unknowable. War is a classic example of uncertainty. When the New Horizon's space probe did its flyby of the Pluto system, what we would find was truly uncertain. Actual surprises occurred.

The problem is when pundits conflate *uncertainty* with *unknown*. Consider alternatively what is the true definition of uncertainty: It occurs *when we have no idea of what the possible outcome might be*, when the probability distribution is unknown (or so extremely large as to functionally be the same as unknown).



It finally dawned on me what drove the uncertainty trope. It took a nervous chief executive on Bloomberg TV during a big sell-off, but his nervousness revealed the answer.

Most of the time, humans exist in a happy little bubble of self-created delusion. We lie to ourselves constantly. We rationalize everything we do, past and present. We engage in selective perception, seeing only the things that agree with us. Our selective retention retains the good stuff and disregards most of the rest. In our minds, we are all younger, better-looking, slimmer, and with more hair than our selfies reveal.

In short, we create a construct of reality that bears only a passing resemblance to the objective universe.

The uncertainty trope arises during those moments when our delusions fade, in those instances where we recognize our own permanent ignorance of the future. Most of us are not especially happy with the naked truth, preferring the comfortable lie. (This often occurs mid-crash.) It is in these brief instances where the facade fades, the curtain gets pulled back, and the ugly reality becomes known to us. We get a glimmer of understanding of our